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Supreme Court of the United States

GREEN TREE FINANCIAL CORP. A/K/A GREEN TREE ACCEPTANCE CORP. A/K/A GREEN TREE FINANCIAL SERVICES CORP. N/K/A CONSECO FINANCE CORP.,
Petitioner,

v.

LYNN W. BAZZLE AND BURT A. BAZZLE, IN A REPRESENTATIVE CAPACITY ON BEHALF OF A CLASS AND FOR ALL OTHERS SIMILARLY SITUATED; DANIEL B. LACKEY, GEORGE BUGGS AND FLORINE BUGGS, IN A REPRESENTATIVE CAPACITY ON BEHALF OF A CLASS AND FOR ALL OTHERS SIMILARLY SITUATED,
Respondents.

On Writ of Certiorari to the Supreme Court of South Carolina

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QUESTION PRESENTED

Whether the Federal Arbitration Act, 9 U.S.C. §§ 1 et seq., divests a state court of authority to allow an arbitrator to decide state-law claims on a class-wide basis in accordance with the arbitration agreement and state law.

TABLE OF CONTENTS

	Page
QUESTION PRESENTED	i
TABLE OF AUTHORITIES	v
STATEMENT	1
SUMMARY OF ARGUMENT	17
ARGUMENT	20
I. THE SOUTH CAROLINA SUPREME COURT'S DECISION TO PERMIT ARBITRATION OF CLASS CLAIMS FULLY COMPORTS WITH THE FAA	20
A. Under the FAA, State Law and Arbitrator Discretion Supply Rules of Arbitration Procedure Not Specified in an Agreement to Arbitrate	20
B. FAA § 2 Preemption Is Limited to Ensuring that State Law Does Not Disfavor Arbitration	22
II. THE FAA DOES NOT ESTABLISH A FEDERAL COMMON LAW OF CONTRACT INTERPRETATION UNDER WHICH THE ARBITRATION AGREEMENT'S REFERENCE TO "THIS CONTRACT" WOULD FORECLOSE CLASS ARBITRATION	26
A. Under the FAA, General Principles of State Law Govern Questions of Interpretation of Arbitration Agreements	27
B. The State Court Faithfully Applied State Law To Hold That The Agreement Permitted Class Arbitration	30

TABLE OF CONTENTS—Continued

Page

1. The State Court's Decision Is Strongly Supported By State Law and the Terms of the Agreement 31

2. There is No Basis for Petitioner's Contention That The State Court "Rewrote" The Parties' Agreement in Order To Serve its Own Policy Preferences 36

III. THE FAA DOES NOT CREATE A FEDERAL PRESUMPTION AGAINST CLASS ARBITRATION THAT WOULD FORECLOSE CLASS ARBITRATION HERE 37

A. The FAA Does Not Preempt State Court Procedures For Multiparty Arbitration 38

B. Congress Acted Reasonably in Not Blocking Class Arbitration 46

CONCLUSION 50

TABLE OF AUTHORITIES

CASES Page

Allied-Bruce Terminix Cos., Inc., v. Dobson, 513 U.S. 265 (1995) 24, 28, 43

Amchem Prods. v. Windsor, 521 U.S. 591 (1997) 49

American Airlines v. Wolens, 513 U.S. 219 (1995) 26-27

American Dredging Co. v. Miller, 510 U.S. 443 (1994) 41

Blue Cross of California v. Superior Court, 78 Cal. Rptr. 2d 779 (Cal. Ct. App. 1998) 38

Boynton v. Carswell, 233 S.E. 2d 185 (Ga. 1977) *overruled on other grounds by Callaway v. Carswell*, 242 S.E.2d 103 (Ga. 1978) 38

Champ v. Siegel Trading Co., 55 F.3d 269 (7th Cir. 1995) 16, 40, 43, 45

Connecticut General Life Ins. Co. v. Sun Life Assurance Co. v. Canada, 210 F.3d 771 (7th Cir. 2000) 33, 36

Deposit Guaranty Nat. Bank v. Roper, 446 U.S. 947 (1980) 49

Dickler v. Shearson Lehman Hutton, Inc., 596 A.2d 860 (Pa. 1991) 33, 38

Doctor's Assocs., Inc. v. Casarotto, 517 U.S. 681 (1996) 24

EEOC v. Waffle House, Inc., 534 U.S. 279 (2002) 48

English v. General Elec. Corp., 496 U.S. 72 (1990) 23

Episcopal Housing Corp. v. Federal Ins. Co., 255 S.E.2d 451 (S.C.1979) 15, 31

Erie Railroad Co. v. Tompkins, 304 U.S. 64 (1938) 41

TABLE OF AUTHORITIES—Continued

	Page
Evins v. Richland County Historic Preservation Comm'n, 532 S.E.2d 876 (S.C. 2000)	33
Ex Parte Kampis, 826 So. 2d 819 (Ala. 2002)	42
First Options of Chicago, Inc. v. Kaplan, 514 U.S. 938, (1995)	28-29, 44, 48
Freightliner Corp. v. Myrick, 514 U.S. 280 (1995)	23
Gilmer v. Interstate/Johnson Lane Corp., 500 U.S. 20 (1991)	39
Green Tree Financial Corp. of Alabama v. Randolph, 531 U.S. 79 (2000)	23
Gregory v. Ashcroft, 501 U.S. 452 (1991)	41
Hanna v. Plumer, 380 U.S. 460 (1965)	41
Hines v. Davidowitz, 312 U.S. 52 (1941)	23
Howsam v. Dean Witter Reynolds, Inc., 123 S.Ct. 588 (2002)	21
John Wiley & Sons, Inc. v. Livingston, 376 U.S. 543 (1964)	22
Johnson v. Fankell, 520 U.S. 911 (1997)	40, 41
Keating v. Superior Court, 645 P.2d 1192 (Cal. 1982)	38
Major League Baseball Players Ass'n v. Garvey, 532 U.S. 504 (2001)	16, 22, 44
Marina Cove Condo. Owners' Assn., 34 P.3d 86 (2001)	42
Mastrobuono v. Shearson Lehman Hutton, Inc, 514 U.S. 52 (1995)	15, 31, 32, 33, 36
Med Center Cars, Inc. v. Smith, 727 So.2d 9 (Ala. 1998)	38
Mitsubishi Motors Corp. v. Soler Chrysler-Plymouth Inc., 473 U.S. 614 (1985)	25
Moses H. Cone Mem'l Hosp. v. Mercury Constr. Corp., 460 U.S. 1(1983)	22

TABLE OF AUTHORITIES—Continued

	Page
Myrtle Beach Lumber Co., Inc. v. Willoughby, 274 S.E.2d 423 (S.C. 1981)	15, 30
O'Melveny & Myers v. FDIC, 512 U.S. 79 (1994)	28
Ortiz v. Fibreboard Corp., 527 U.S. 815 (1999)	33
Perry v. Thomas, 482 U.S. 483 (1987)	*passim*
Phillips Petroleum v. Shutts, 472 U.S. 797 (1985)	38, 48, 49
Pittman Mortgage Co. v. Edwards, 488 S.E.2d 335 (S.C. 1997)	16, 22
Plaza Development Services v. Joe Harden Builder, Inc., 365 S.E.2d. 231 (S.C. Ct. App. 1988)	15
Shearson/American Express v. McMahon, 482 U.S. 220 (1987)	25
Southern Atlantic Fin. Services, Inc. v. Middleton, 562 S.E.2d 482, 486 (S.C. Ct. App. 2002)	30
Southland Corp. v. Keating, 465 U.S 1 (1984)	*passim*
State v. Berger, 567 S.E.2d 265 (W.Va. 2002), *cert. denied sub nom Friedman's Inc. v. West Virginia*, 123 S.Ct. 695 (2002)	40
Textile Workers Union of America v. Lincoln Mills, 353 U.S. 448 (1957)	40
Ting v. AT&T, 319 F.3d 1126 (9th Cir. 2002)	40
Tilley v. Pacesetter Corp., 508 S.E.2d 16 (S.C. 1998)	6
Volt Info. Sciences Inc., v. Bd. of Trustees, 489 U.S. 468 (1989)	*passim*
Zabinski v. Bright Acres Assocs, 553 S.E.2d 110 (S.C. 2001)	22, 32

TABLE OF AUTHORITIES—Continued

STATUTES	Page
9 U.S.C. § 1	42
§ 2	*passim*
§ 3	42
§ 4	16, 42, 43, 45
§ 7	21
§ 10	17
S.C. Code Ann. §§15-48-10	21
§ 15-48-130	16-17
§ 15-48-130(a)	22
§ 15-48-150	48
§ 37-10-102	5
§ 37-10-102(a)	5
1982 S.C. Act 385 § 56	5
1997 S.C. Act 99 § 5	6
RULES	
Fed. R. Civ. P. 8(c)	48
Fed. R. Civ. P. 23	41, 45
Fed. R. Civ. P. 81(a)(3)	45
S.C.R.C.P. 23	12, 31
OTHER AUTHORITIES	
American Arbitration Association website, http://www.adr.org/index2.1jsp?JSPssid=15739	25
NASD Code of Arbitration Procedure, Section 12(d)(3)	50
Ralph K. Anderson, Jr., SOUTH CAROLINA REQUESTS TO CHARGE - CIVIL, § 19-7 Contract Rules of Construction (2002)	30
Restatement (Second) of Contracts §206 (1981)	31
Sternlight, Arbitration Meets the Class Action, 42 Wm. & Mary L. Rev. 1, 8 (2000)	50

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BRIEF FOR RESPONDENTS

STATEMENT

This case concerns whether the Federal Arbitration Act ("FAA") requires that an arbitration clause, governed by state law and interpreted by the state's highest court to allow class arbitration, be reinterpreted under a new federal standard of FAA contract interpretation to foreclose class arbitration. Green Tree wrote a sweeping arbitration clause in its standard-form adhesion contract and imposed it on respondents when they obtained mortgage-secured financing from Green Tree for home improvements or manufactured housing

in South Carolina. That agreement stated that it would be "governed by the law of the State of South Carolina," R. App. 2162, which permits class arbitration in the absence of contract language specifically forbidding it. Employing standard rules of contract interpretation applicable to all other contracts, the state high court held that Green Tree's clause "does not limit the arbitration to non-class arbitration," Pet. App. 19a, and that South Carolina law permits class-wide arbitration, *id.* at 21a-22a. Under these circumstances, it is consistent with the FAA for respondents to pursue their wholly state-law claims in an arbitration class action.

Years before respondents filed these cases, Green Tree had been held liable to other individuals for the same violations at issue here. Rather than correct its unlawful conduct, Green Tree continued to impose its illegal credit procedure on thousands of additional borrowers. The arbitrator found that Green Tree had engaged in "wilful, wanton and egregious" disregard of state law. Pet. App. 108a. After persisting for years in wholesale violation of the South Carolina Consumer Code ("Consumer Code"), undeterred by successive individual cases, Green Tree opposes class treatment in this case.

When respondents sought redress for Green Tree's predatory lending practices, they were bound by contract to arbitrate before an arbitrator chosen by Green Tree. Respondents filed their two complaints as class actions, and the arbitrator decided to proceed on a class-wide basis in both cases. Green Tree objected to class arbitration, however, asserting that it was foreclosed by the arbitration clause. Every legal decision maker to have considered the question—including the arbitrator himself and the state courts up to and including the South Carolina Supreme Court—has uniformly concluded that the agreement permitted class arbitration, and that respondents' claims were appropriately arbitrated on a class-wide basis. Green Tree now seeks to convert the state-law question of the scope of the arbitration clause into a federal question under

the FAA. That position is untenable. Green Tree advocates a dramatic expansion of the reach of the FAA into routine matters of state law that was never intended by Congress and cannot be squared with this Court's cases.

1. The Arbitration Agreement. Petitioner Green Tree drafted the arbitration agreement at issue in this case and included it in a standard form consumer Retail Installment Contract and Security Agreement ("Agreement"). Green Tree presented the Agreement on a take-it-or-leave-it basis to each member of the respondent class when the prospective borrower sought to purchase manufactured housing or home improvements financed by Green Tree. The underlying claim common to all the class members is thus governed by the same arbitration clause in the same standard-form contract of adhesion.

Green Tree's Agreement barred the use of juries, but otherwise said nothing about procedures for arbitration. Instead, it generally provided that "this contract will be governed by the law of the State of South Carolina." R. App. 2162. South Carolina law permits class arbitration, and neither the arbitration provision nor any other document Green Tree used in the transactions at issue made any reference to waiver of class actions. The arbitration clause stated only that the parties waived their right to a jury trial, both in arbitration and in court. Pet. App. 110a.[1] Not until November 1998, well after the parties had completed the transactions at issue in this case, did Green Tree amend its arbitration clause to require signatories to waive their right to "to participate as a repre-

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[1] Green Tree's arbitration clause preserved Green Tree's own right to elect to go to court when *it sought enforcement* of any "mortgage, deed or trust, or other security agreement," yet provided that any such suit would not impair Green Tree's right to compel purchasers to arbitrate their claims, including any counterclaims to claims Green Tree filed in court. Pet. App. 111a.

sentative or a member of any class of claimants pertaining to any claim arising from or relating to this agreement." [2]

Green Tree's Agreement provided for mandatory, binding arbitration of "[a]ll disputes, claims, or controversies arising from or relating to this contract or the relationships which result from this contract, or the validity of this arbitration clause or the entire contract." The Agreement specifically granted the arbitrator authority over "all disputes arising under case law, statutory law, and all other laws, including, but not limited to, all contract, tort, and property disputes." The Agreement did not set forth arbitration procedures, but instead conferred on the arbitrator "all powers provided by the law and the contract." Those powers, the agreement stated, "shall include all legal and equitable remedies, including, but not limited to, monetary damages, declaratory relief, and injunctive relief." Pet. App. 110a.

2. The Underlying Claims. The respondent classes assert only state-law, non-diversity claims arising under the Consumer Code. The *Bazzle* and *Lackey* cases, consolidated in the final opinion issued by the South Carolina Supreme Court, began as two class actions arbitrated separately before the same arbitrator. Purchasers of mobile homes comprise the *Lackey* class, and purchasers of home improvements comprise the *Bazzle* class. Both cases involve real-estate secured transactions, all of which Green Tree structured in the same way, using the same agreement, and all of which were affected by the identical violation of state consumer law. As the arbitrator ultimately found, Green Tree violated the class members' rights by systematically ignoring a clear statutory requirement that creditors in real-estate secured transactions

[2] *See* Resp. Reply Brief to *Amici Curiae*, filed in No. 00-CP-18-443 (Supreme Court of South Carolina), at 6 & Attachment A. The validity of those agreements is not at issue in this case.

alert consumers of the need to retain their own lawyers and insurance agents to represent their interests.

a. ***The South Carolina Attorney Preference law***. In 1982, the South Carolina General Assembly ("General Assembly") amended the Consumer Code to relieve creditors of usury restrictions, but sought to protect consumers against predatory lending practices by reinforceing consumers' right to legal representation and insurance advice in real-estate secured transactions. The 1982 Consumer Code amendments eliminated caps on the interest rates that creditors could charge for consumer credit, and authorized creditors to charge certain fees. 1982 S.C. Act 385 § 56. To safeguard consumers, the General Assembly also included a requirement that creditors advise each consumer of his or her right to retain an attorney and insurance agent to provide professional services at the closing of real estate transactions. S.C. CODE ANN. § 37-10-102 (the "Preference Statute").[3] Under the Preference Statute, the creditor was required to record on the first page of each credit application the consumer's chosen representatives. *Id.* The Preference Statute applies to all consumer loans secured by real estate without regard to whether the underlying contract contains an arbitration clause. The General Assembly enacted the Preference Statute to prevent creditors from locking consumers into usurious interest rates or other unfair contract terms and securing those loans with

[3] Section 37-10-102(a) provides, in pertinent part: Whenever the primary purpose of a loan that is secured in whole or in part by a lien on real estate is for a personal, family or household purpose—(a) The creditor must ascertain the preference of the borrower as to the legal counsel that is employed to represent the debtor in all matters of the transaction relating to the closing of the transaction and . . . the insurance agent to furnish required hazard and flood property insurance in connection with the mortgage and comply with such preference, and the credit application on the first page thereof must contain information as is necessary to ascertain these preferences of the borrower.

the consumer's real estate without the consumer having the benefit of an attorney and insurance agent to give advice. In the absence of professional guidance, consumers often fail to appreciate the terms and the total dollar cost of a "deal," and may remain unaware that a loan will be secured by liens on their real property that can hinder property sale or lead to forfeiture if payment is not timely made. R. App. 1720, 1722.

In May 1997, after both the *Bazzle* and *Lackey* complaints had been filed, the General Assembly amended the Preference Statute. The Preference Statute previously placed no special limits on the right of consumers to proceed against violators on a class-wide basis. *See Tilley v. Pacesetter Corp.*, 508 S.E.2d 16, 21 (S.C. 1998). The statute's pre-1977 penalty provision also provided that violators could be required to forfeit the total amount of the loan finance charge, repay to the consumer double the amount of interest collected, pay costs of the action, and allow the consumer to repay the balance of the loan without any loan finance charges. *See Tilley*, 508 S.E.2d at 36 n.2. The 1997 Preference Statute amendments foreclosed future class actions for violations of the Preference Statute and established a fixed penalty range of $1,500-$7,500. The same amendment, however, expressly directed that all Preference Statute cases "filed as class actions, without regard to certification, prior to May 2, 1997, may proceed." 1997 S.C. Act 99 § 5. *Bazzle* and *Lackey* were both filed before that date, and the General Assembly was aware of the pendency of these and other Preference Statute class actions when it amended the Consumer Code. *See* R. App. 75a.

b. ***The Transactions.*** As noted above, the two cases at issue here involve two types of transactions secured by South Carolina real estate: mobile-home purchase transactions (*Lackey*) and home-improvement transactions (*Bazzle*).

In a typical mobile-home transaction (litigated in *Lackey*), the purchaser entered into a preprinted consumer installment contract and security agreement with Green Tree to buy a mobile home. Green Tree's dealer had the purchaser fill out a Green Tree credit application. The credit application did not include the required Preference Statute disclosure. If Green Tree elected to extend credit, it set the terms of the credit, prepared all the necessary documents for closing, and transmitted the documents to its dealer. The documents included a mortgage prepared by Green Tree. The mortgage, on its face, directed the local recording office to return it directly to Green Tree. No attorney was involved in those transactions, nor were consumers advised of the need to consult counsel. Pet. App. 87a-88a.

The *Bazzle* transaction is typical of a home-improvement transaction. A home-improvement contractor offering financing through Green Tree solicited customers door-to-door, offering home-improvement services. The contractor, acting as a dealer for Green Tree, advised the customer that home improvements could be financed. The customer completed a credit application that was then submitted to Green Tree. The dealer did not disclose the terms of the credit or the encumbrance placed on the purchaser's existing real estate. If the customer agreed to purchase home improvements, the Green Tree dealer returned to the customer's home with the transaction documents. Pet. App. 61a-62a.

All of the transaction documents were standard preprinted form contracts of adhesion prepared by Green Tree. Green Tree set all of the terms of financing, including the rate of interest. The documents, if explained at all, were not prepared or reviewed by any attorney or agent for the purchasers. Green Tree never gave the purchasers the required Preference Statute disclosures. Pet. App. 61a-62a. Many purchasers did not understand that they were securing the credit transaction with a mortgage on their home, and would only discover

Green Tree's mortgage when they attempted to sell or refinance their home. R. App. 1720, 1722.

3. The Proceedings Below

a. ***Lackey v. Green Tree.*** Daniel Lackey filed his class-action complaint in state court on May 28, 1996. He alleged that Green Tree systematically violated the Preference Statute in manufactured-housing and home-improvement transactions secured by South Carolina real estate. Green Tree answered, and the *Lackey* plaintiffs moved for class certification. R. App. 123-124. Green Tree then moved to stay the litigation and compel arbitration, and the trial court denied the motion because it found the arbitration clause unconscionable. Pet. App. 6a.

Green Tree appealed, and on March 3, 1998, the South Carolina Court of Appeals reversed and remanded. Pet. App. 6a. The court of appeals held that the contract was not unconscionable, but agreed with the trial court that it was a contract of adhesion. R. App. 3. The trial court on remand entered a consent order on July 23, 1998, submitting the case for arbitration before the Honorable Thomas J. Ervin, a retired state circuit court judge chosen by Green Tree. R. App. 75.

On August 19, 1998, the arbitrator held a hearing to consider whether Green Tree's arbitration agreement prevented class arbitration. Following briefing and a hearing, the arbitrator determined that the Agreement did not preclude class arbitration and scheduled a class certification hearing. R. App. 73.

On November 23, 1998, the arbitrator held a hearing on class certification and certified the class. R. App. 71-72. Contrary to petitioner's contentions (Pet. Br. 12), the arbitrator did not "follow the approach that had been imposed

on him by the trial court in *Bazzle*."[4] Rather, he independently "determined that a class action should proceed in arbitration" based on his "careful review of the broadly drafted arbitration clause prepared by Green Tree." Pet. App. 84a. The arbitrator "found that the requirements for class certification were met and that class certification was appropriate." *Id.* at 86a. The arbitrator approved a notice of class arbitration to inform unnamed class members of their choice to opt out, and class counsel mailed it to each class member. J.A. 17-23. Ten persons opted out of the *Lackey* class. Pet. App. 91a. The arbitrator also excluded from the class 36 persons whose transactions were closed outside of South Carolina, and 73 persons whose contracts with Green Tree did not include the arbitration clause. Pet. App. 90a-91a.[5]

The *Lackey* class was initially defined broadly to include both manufactured-housing and home-improvement real-estate-secured transactions. Once both the *Bazzle* and *Lackey* cases were in arbitration, however, Green Tree requested that the home-improvement borrowers in the *Lackey* class be bifurcated from the *Lackey* arbitration and consolidated into the *Bazzle* class. The arbitrator granted that request, R. App.

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[4] The *Bazzle* case was filed and class certification order entered while Green Tree's appeal of the unconscionability decision in *Lackey* was pending. At the time of the *Lackey* class certification hearing, the *Bazzle* case had not yet been assigned to the arbitrator and the *Bazzle* class certification order was under challenge in a petition Green Tree filed in the South Carolina Supreme Court.

[5] The purchasers excluded from the arbitration classes because they were not bound by arbitration clauses brought a class action in court. *Green Tree Fin. Corp. v. Flemmings*, C/A No: 96-CP-40-4282, Richland County Court of Common Pleas. The parties in *Flemmings* stipulated to the record developed in the *Bazzle* and *Lackey* arbitrations. The court granted summary judgment on liability and awarded damages of $7500 per transaction. The court further found that Green Tree's conduct was unconscionable, requiring that Green Tree forfeit all remaining interest. Green Tree did not appeal.

58-59, and the cases thereafter were delineated by type of transaction. The arbitrator maintained the separation between *Bazzle* and *Lackey* because Green Tree operated distinct home-improvement and manufactured-housing divisions, and the facts regarding each division's efforts, if any, to comply with the Preference Statute potentially raised distinct factual questions as to each class.

The arbitrator held a trial on the merits on March 6-8, 2000, R. App. 643-994 (trial transcript), and held Green Tree liable, finding that "Green Tree's behavior in this matter was wilful, wanton and egregious," Pet. App. 108a. In his final order and award, the arbitrator stated that Green Tree "failed to provide any evidence or testimony of compliance" with the Preference Statute, and failed to dispute that "a large number" of its contracts during the relevant time period were completed in violation of that law. *Id.* at 67a & n.4. The arbitrator awarded $5,000 per transaction to each of the *Lackey* class members.

After the arbitrator issued his final order, Green Tree moved the state court to vacate and remand that order based in part on assertions that the Agreement barred class arbitration. The court denied the motion, and granted plaintiffs' motion to confirm the award. Pet. App. 36a-54a. The court observed that:

> the contract itself states that all disputes, claims or controversies relating to the contract or the validity of the arbitration clause or the entire contract shall be resolved by binding arbitration by the arbitrator. Here, Green Tree drafted its own arbitration clause making clear that the parties agreed to arbitrate arbitrability and the decision by the Arbitrator to arbitrate this matter as a class is binding on Green Tree.

Pet. App. 51a. The court rejected Green Tree's argument that the clause's reference to "this contract" foreclosed class-wide

arbitration: "Th[e] 'all powers' language provided by the clause is in addition to the contract rights and remedies and includes the right to determine class arbitration." Pet. App. 49a.

Green Tree appealed, and the state supreme court accepted jurisdiction, consolidating the appeal with a parallel appeal in *Bazzle*. Pet. App. 2a.

b. ***Bazzle v. Green Tree.*** In March 1997, Lynn and Burt Bazzle filed suit against Green Tree for violating the Preference Statute in home-improvement transactions secured by real estate. Pet. App. 56a. The plaintiffs moved for class certification and Green Tree moved to compel arbitration. In late 1997, following local practice of ruling on motions in the order in which they are filed, the South Carolina trial court heard argument on and granted the Bazzles' motion for class certification, R. App. 1350-1358, and then heard argument on and granted Green Tree's motion to compel arbitration, R. App. 1359-1363. The judge also ordered that all foreclosure proceedings against plaintiff class members be stayed pending arbitration. R. App. 1363. Green Tree made no argument that the trial court lacked power to certify a class pending arbitration. R. App. 1448-1449.

In support of class certification, the court concluded that "clearly all the prerequisites of [South Carolina] Rule [of Civil Procedure] 23 have been met." Numerosity was readily met because "Green Tree admits that neither it nor its dealers have advised consumers that they had a right to select a closing attorney or insurance agent," and Green Tree engaged in "at least 3,600 similar type transactions." The legal and factual questions at stake were common, "apply[ing] to all class members," and the named plaintiffs' claims were typical of those of the class because "the named plaintiffs, as well as all the members of the putative class, have identical claims against the defendants." The adequacy of representation by

the named plaintiffs, who had "no potential for conflicting interest" with class members, and by their counsel, who had "experience and past success in matters strikingly similar to the instant case," was also clear and not disputed. Finally, the court found that the South Carolina Rule 23 $100 amount-in-controversy requirement was met. The court ordered plaintiffs to "provide actual notice to the class members in accordance with Rule 23 of the South Carolina Rules of Civil Procedure," and to provide class members the opportunity to opt out of the class. R. App. 1352-1357, 1348. Twelve members elected to opt out of the *Bazzle* class. Pet. App. 68a.

In January 1998, Green Tree urged the trial court to reconsider its order certifying the class, arguing that 'class arbitration of the plaintiff's claims is not authorized under the existing agreement of the parties and the law interpreting the Federal Arbitration Act." R. App. 1451. The court denied the motion, noting that the cases that Green Tree cited "imply that class arbitration is possible given the right set of circumstances." The court also found that Green Tree's arbitration clause "is so broad that one can easily infer that both parties intended to include class arbitration." R. App. 1347.[6]

On May, 12, 1999, Green Tree moved the trial court to dismiss or in the alternative to decertify the class in whole or in part, R. App. 1455, but the court denied the motion for want of jurisdiction over a matter pending in arbitration, Pet. App. 29a. Two and a half years after the court granted Green Tree's motion to compel arbitration, the *Bazzle* case was sent to arbitration. Although Judge Ervin had by then certified a class in *Lackey*, Green Tree chose him to arbitrate *Bazzle* as well.

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[6] Both the South Carolina Court of Appeals and Supreme Court denied Green Tree's attempts to obtain interlocutory appellate review. Pet. App. 57a-58a; *see* R. App. 1306.

Green Tree then moved the arbitrator to dismiss the action or, in the alternative, to decertify the class, placing the *Bazzle* class certification issue squarely before the arbitrator. Pet. App. 29; R. App. 1455, 3533-3543. On March 23, 2000, the arbitrator denied Green Tree's motion to dismiss and request for decertification, but granted its request that the class claims be narrowed to include only the Preference-Statute and unconscionability claims. R. App. 1400-1404. As his action makes clear, the arbitrator plainly understood that he had independent authority to decide whether and how to proceed with class arbitration, notwithstanding the trial court's order granting certification before sending the matter to arbitration.

After conducting a hearing on May 31, 2000, R. App. 1819-2023 (trial transcript) the arbitrator issued his written award. Pet App. 55a-81a. The arbitrator held Green Tree liable for violating the Preference Statute and awarded relief on a class-wide basis. He found that Green Tree submitted no evidence of compliance or attempted compliance with the Preference Statute enacted years earlier. "Despite Green Tree's vast financial resources, it took no affirmative action to educate itself on the requirements of the South Carolina attorney preference statute." *Id.* at 69a. The arbitrator concluded that the evidence clearly showed an ongoing pattern and practice that began as a careless or negligent attitude and graduated into a willful non-compliance and disregard for South Carolina law:

> Green Tree offered no evidence of any nature that after it was sued by [other consumers] in 1994 that it attempted to comply with the preference statute . . . .
>
> . . . After five suits, including [the *Bazzle* suit], having been brought against Green Tree for failing to comply with the preference statute, it still continued to refuse to take any action or to adhere to the statute's requirements. . . . Thus, based on the testimony and the evidence of record, I find that Green Tree simply chose

> to totally ignore the law despite learning of the requirement. As a result of its behavior, Green Tree's conduct rises to a shocking level of callous and reckless indifference to the rights of South Carolina residents.

Id. at 67a-68a, 69a.

Based on these determinations, the arbitrator awarded a $5,000 penalty to aggrieved consumers in 1,323 home-improvement transactions that occurred prior to the time Green Tree had actual notice of its non-compliance. For the remaining 576 home-improvement transactions that occurred after Green Tree had actual notice of the unlawfulness of its own practices and still did nothing to comply, the arbitrator awarded $7,500 per transaction. Pet. App. 71a, 80a. The arbitrator also awarded reasonable costs and attorneys' fees. *Id.* at 80a-81a.[7]

In accordance with applicable state law, the Bazzles filed a motion to confirm the award in South Carolina trial court, R. App. 1457, and Green Tree filed a motion to remand the award for amendment and clarification, R. App.1538. On September 15, 2000, the state trial court denied Green Tree's motion and confirmed the award of the arbitrator, determining that the arbitrator acted within his authority to hold Green Tree liable on a class-wide basis. Pet. App. 27a-35a. Green Tree appealed, and the South Carolina Supreme Court assumed jurisdiction to hear the appeal in consolidation with the *Lackey* case. Pet. App. 2a.

[7] Petitioner's suggestion (Pet. Br. 13) that class counsel's fee award was excessive is baseless and, since it is a state law question, wholly gratuitous. *See* Pet. App. 71a-79a (Arbitrator's detailed justification for award). Green Tree's own clear and wilful law violations and ensuing litigiousness necessitated substantial work by class counsel, despite the fact that Green Tree lacked any colorable defense on the merits.

c. ***The South Carolina Supreme Court decision.*** The state high court unanimously affirmed. Stressing that South Carolina law "favors arbitration of disputes," and that the state courts accordingly "resolve any doubts concerning the scope of arbitrable issues in favor of arbitration," Pet. App. 17a, the court applied state contract law to hold that Green Tree's contract language "does not limit the arbitration to non-class arbitration." Pet. App. 19a.

The court emphasized that its decision rested on "independent state grounds": "[U]nder general principles of contract interpretation, we construe Green Tree's omission of any reference to class actions against them." *Id.* at 20a-21a. The Court found the contract language ambiguous "[a]t best," Pet. App. 19a, noting that the requirement that ambiguous language be construed against the drafter not only was well settled in South Carolina, Pet. App. 17a *(citing Myrtle Beach Lumber Co., Inc. v. Willoughby*, 274 S.E.2d 423 (S.C.1981)), but also comports with this Court's FAA jurisprudence, Pet. App. 18a (*citing Mastrobuono v. Shearson Lehman Hutton, Inc.*, 514 U.S. 53 (1995)). The court specifically rejected Green Tree's argument that the arbitration clause's reference to disputes relating to "this contract" precludes class arbitration. Pet. App. 19a.

The court also emphasized that "no case law or statute in South Carolina prohibits class-wide arbitration. To the contrary, this Court strongly favors arbitration and has held that a state court may order *consolidation* of claims subject to mandatory arbitration without any contractual or statutory directive to do so." Pet. App. 21a (*citing Episcopal Housing Corp. v. Federal. Ins. Co.*, 255 S.E.2d 451 (S.C. 1979); *Plaza Development. Services. v. Joe Harden Builder, Inc.*, 365 S.E.2d 231 (S.C. Ct. App. 1988)). The court pointed to South Carolina precedent allowing consolidated arbitration and recognized that some jurisdictions foreclosed class arbitra-

tion based on their own state rules against consolidated arbitration. Pet. App. 21a.

The court described its decision to reject implied waiver of class arbitration as serving important state interests that are directly implicated in this case. "If we enforced a mandatory, adhesive arbitration clause, but prohibited class actions in arbitration where the agreement is silent, the drafting party could effectively prevent class actions against it without having to say it was doing so in the agreement." Pet. App. 22a. Such a result would thwart South Carolina's interest in vindicating its consumer protection laws. Indeed, under petitioner's approach, "parties with nominal individual claims, but with significant collective claims, would be left with no avenue for relief and the drafting party with no check on its abuses of the law. Further, hearing such claims (involving identical issues against one defendant) individually, in court or before an arbitrator, does not serve the interest of judicial economy." Pet. App. 22a.

The state supreme court also analyzed whether, notwithstanding state law permitting class arbitrations, federal law compelled the opposite result. The court observed that some federal courts had followed *Champ v. Siegel Trading Co.*, 55 F.3d 269 (7th Cir. 1995), to deny class arbitration in cases brought in federal court under FAA § 4. The court reasoned that it was not obliged to follow *Champ* because that case articulated an exclusively "federal approach" based on an application of § 4, which by its plain terms governs only a petition to a "*United States district court.*" Pet. App. 12a n.11, 20a. The court noted that the judgment sustaining the arbitration award had particular force given the limited scope of judicial review of arbitration decisions under both federal and South Carolina law. Pet. App. 23a (*citing Major League Baseball Players' Ass'n v. Garvey*, 532 U.S. 504 (2001) (per curiam); *Pittman Mortgage Co. v. Edwards*, 488 S.E.2d 335, 337-38 (S.C. 1997) (interpreting S.C. CODE ANN. § 15-48-130, the state-law analogue to FAA § 10)). To overturn an arbitrator's decision, as Green Tree itself acknowledged, it must show that "the arbitrator knew of a *governing* legal principle yet refused to apply it, *and* the law disregarded was well defined, explicit, and clearly applicable to the case." Pet. App. 24a (citing Green Tree brief and state case) (emphasis in opinion). Because "the arbitrator did not act in manifest disregard of the law by permitting [the class arbitration] to proceed," the court upheld the arbitrator's awards in both the *Bazzle* and *Lackey* cases. *Id.*

Green Tree and its *amici* also asserted that the due process rights of absent class members were violated by the class-wide arbitration, but the court held that Green Tree had failed to preserve that claim, and that, in any event, there was "no evidence that the rights of the absent class members were not protected in this case." Pet. App. 25a. Acknowledging that "protection of the due process rights of absent class members is an essential component of all class actions, and one which may necessitate particular attention in class-wide arbitrations," the court observed that the class members' rights in this case "appear to have been properly protected by the notice given to all of them," and the corresponding right to opt out. *Id.* at 26a.[8]

SUMMARY OF ARGUMENT

The South Carolina Supreme Court applied ordinary state contract doctrine to hold that the arbitration clause "does not limit the arbitration to non-class arbitration," Pet. App. 19a,

[8] In December 2002, petitioner filed for relief under the United States Bankruptcy Code. Substantially all of petitioner's assets are being sold and petitioner is being liquidated. The judgment of the South Carolina Supreme Court in this case is secured by bonds, but if that judgment were reversed and these 3,700 consumers remitted to individual arbitrations, they likely would have limited, if any, recourse for petitioner's violation of law.

and thus permits class-wide arbitration in the arbitrator's discretion as authorized by South Carolina law, *id.* at 21a-22a. The parties' agreement did not specify the procedures to be used in arbitration under it, but did specify that South Carolina law would govern. Under South Carolina law, class arbitration is permissible in appropriate circumstances where the parties' agreement does not foreclose it.

Petitioner urges reversal, as a matter of federal law, on the ground that the state high court misread the parties' contract. Arguing that the FAA mandates enforcement of arbitration agreements "in accordance with their written terms," petitioner attempts to spin a preemptive federal rule of arbitration-contract interpretation from snippets of language taken out of context from this Court's cases. Under petitioner's proposed rule, any party displeased with a state court's interpretation of an arbitration agreement would have a federal claim that the contract was not interpreted "in accordance with its written terms." The FAA effected no such wholesale federalization of matters of state law.

There is no express or field preemption under the FAA. Conflict preemption under the Act is limited to state law that discriminates against or disfavors arbitration as such, and the decision here did neither. This Court's references to the enforcement of arbitration agreements "according to their terms" are simply directives to ensure that courts repudiate historical practices of voiding arbitration agreements due to a bias in favor of adjudication, and instead interpret those agreements neutrally under ordinary principles of state law. That language was not meant to displace routine state-law contract interpretation with federal law.

To the contrary, it is well settled that "the interpretation of private contracts is ordinarily a question of state law" under the FAA. *Volt Info. Sciences Inc. v. Bd. of Trustees*, 489 U.S. 468, 474 (1989). The state supreme court faithfully

interpreted the Agreement in accordance with generally applicable principles of state law to permit the arbitrator to conduct a class arbitration. The contract contains no prohibition on class arbitrations, grants the arbitrator all powers under the law including equitable powers, and authorizes arbitration of all disputes arising from or related to the contract or the parties' relationship. Because the South Carolina Court's routine application of ordinary state contract law principles to this agreement neither discriminated against nor disfavored arbitration, there is no ground for federal preemption here.

Nor is there any warrant in the FAA to fashion a special federal background rule that would prohibit class arbitration unless the parties' agreement explicitly authorized it. The Court in *Volt* recognized that the FAA leaves room for states to fashion their own procedures to facilitate multiparty arbitration. Class arbitration meshes even more comfortably with the FAA than the rule in *Volt* providing for stays of arbitration pending related litigation. It would distort the FAA beyond recognition to find in it presumptive mistrust of arbitrators' abilities to handle potentially complex procedures like class arbitration. As petitioner itself acknowledges, the FAA does not establish any inherent clash between arbitration and class actions. Pet. Br. 32 ("No one can doubt that the parties to an arbitration could agree to proceed in such a fashion."), *id.* at 42. The FAA's complete silence on class arbitration, together with the compatibility of class treatment and arbitration as a practical matter, shows the FAA's lack of any preemptive effect here.

Petitioner does not argue that the arbitrator misapplied class action standards. Here, each and every one of the numerous class members was governed by the same agreement to arbitrate, their identical underlying claims all were subject to arbitration, the case unquestionably met the State's standards for class certification, and only those persons who

did not opt out of the class proceeding before the arbitrator were included. This case was an ideal candidate for class arbitration, and the arbitrator successfully conducted a class arbitration. Nor is petitioner claiming that the arbitrator erred in finding it liable with respect to anyone in the respondent class. The illegality of Green Tree's challenged conduct has long been clear.

Petitioner's objective here is instead to find a way to avoid having to pay each person whose rights it admittedly violated. Despite earlier awards against it in individual cases raising the same claim, Green Tree persisted for years in violating the Consumer Code in thousands of additional transactions in South Carolina. Now that it has been held liable to a class, it argues that the FAA forecloses class arbitration, and that the agreement to arbitrate silently waived the right to sue on a class-wide basis. The FAA has no such effect. It does not displace state law that permits class arbitration. Class arbitration here, under a contract that did not purport to foreclose it, served the State's interest in effective and efficient enforcement of is laws, and did so in a manner fully consistent with the FAA.

ARGUMENT

I. THE SOUTH CAROLINA SUPREME COURT'S DECISION TO PERMIT ARBITRATION OF CLASS CLAIMS FULLY COMPORTS WITH THE FAA

A. Under the FAA, State Law and Arbitrator Discretion Supply Rules of Arbitration Procedure Not Specified in an Agreement to Arbitrate

The decision of the South Carolina Supreme Court fully accords with the parties' Agreement and the text and purposes of the FAA. As that court held, the parties' Agreement

places no limits on an arbitrator's ability to conduct class arbitration. *See* Pet. App. 19a; *see also* Point II, *infra*. The only matter of arbitration procedure directly addressed by the agreement in this case is the unavailability of a jury. Pet. App. 110a. Such lack of any other specification leaves matters of arbitration procedure to the arbitrator's discretion, within the parameters set by state law and the FAA. The arbitrator was thus free to proceed on a class-wide basis in a fitting case, and he appropriately elected to do so here.

The FAA says nothing about the procedures to arbitrate state-law claims. Section 7 of the FAA—which gives arbitrators power, backed by the federal courts, to summon witnesses to arbitration—is the only provision of the Act that addresses arbitration procedures, and even that provision is directed exclusively to federal cases. 9 U.S.C. § 7 (referring to "United States district court" and "courts of the United States").[9] The FAA does not speak to whether an arbitrator may permit plaintiffs to proceed on a class basis, for "there is no federal law favoring arbitration under a certain set of procedural rules." *Volt Info. Sciences, Inc. v. Bd. of Trustees*, 489 U.S. 468, 476 (1989); *Southland Corp. v. Keating*, 465 U.S. 1, 11 n.6 (1984) ("The procedures to be used in an arbitration are not prescribed by the [FAA]").

Selection of arbitration procedures not specified by an arbitration agreement or mandated by state law rests within the arbitrator's discretion. "[P]rocedural questions which grow out of the dispute and bear on its final disposition' are presumptively *not* for the judge, but for an arbitrator, to decide." *Howsam v. Dean Witter Reynolds, Inc.*, 123 S.Ct. 588, 592 (2002) (*quoting John Wiley & Sons, Inc. v. Livingston*, 376 U.S. 543, 557 (1964)).

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[9] State law provides the analogous procedure for state arbitrations. S. CAR. CODE ANN. § 15-48-10 (providing subpoena power to state arbitrators).

Even if there were some doubt that the agreement in this case left to the arbitrator the choice of arbitration procedures, including class arbitration, his decision to proceed on a class basis must be accorded great deference. It is well settled that "questions of arbitrability must be addressed with a healthy regard for the federal policy favoring arbitration." *Moses H. Cone Mem'l Hosp. v. Mercury Constr. Corp.*, 460 U.S. 1, 24 (1983); *Zabinski v. Bright Acres Assocs.*, 553 S.E.2d 110, 118 (S.C. 2001) ("unless the court can say with positive assurance that the arbitration clause is not susceptible to an interpretation that covers the dispute, arbitration [of the disputed question] should be ordered"). Thus, in deciding whether the parties' agreement authorized the arbitrator to certify a class, this Court should resolve any doubts about the matter in favor of the arbitrator's decision. Matters within an arbitrator's power, such as the procedures for conducting the arbitration, are ordinarily subject to only the most limited and deferential judicial review. *Major League Baseball Players' Assoc. v. Garvey*, 532 U.S. 504, 509 (2001) (per curiam) (judicial review of arbitration decision is "very limited," warranted only when the arbitrator "strays from interpretation and application of the agreement and effectively 'dispenses his own brand of . . . justice'"); *Pittman Mortgage Co. v. Edwards*, 488 S.E.2d 423, 337-38 (S.C. 1997) (arbitral awards subject to narrow review under S.C. CODE ANN. § 15-48-130(a)).

B. FAA § 2 Preemption Is Limited to Ensuring that State Law Does Not Disfavor Arbitration

FAA preemption is narrow. "The FAA contains no express preemption provision, nor does it reflect a congressional intent to occupy the entire field of arbitration." *Volt Info. Sciences, Inc., v. Bd. of Trustees*, 489 U.S. 468, 477 (1989). Thus, petitioner must depend on conflict preemption, which requires a showing that the state rule would "actually conflict

with federal law" by "standing as an obstacle to the accomplishment and execution of the full purposes and objectives of Congress." *id.* at 477 (*quoting Hines v. Davidowitz*, 312 U.S. 52, 67 (1941)). The guiding rule is that preemption is disfavored, *English v. Gen. Elec. Co.*, 496 U.S. 72, 90 (1990), especially where the federal law with which the state decision assertedly conflicts is completely silent on the matter, *see Freightliner Corp. v. Myrick*, 514 U.S. 280 (1995), as the FAA is on class arbitration.

There is no FAA preemption here. The principal preemptive thrust of the FAA is to displace state laws that would frustrate the parties' choice to arbitrate rather than litigate. To that end, FAA § 2 states that

> an agreement in writing to submit to arbitration an existing controversy arising out of such a contract, transaction, or refusal, shall be valid, irrevocable, and enforceable, save upon such grounds as exist at law or in equity for the revocation of any contract.

9 U.S.C. § 2. Congress thereby "withdrew the power of the states to require a judicial forum for the resolution of claims which the contracting parties agreed to resolve by arbitration." *Southland Corp. v. Keating*, 465 U.S. at 10; *see Green Tree Financial Corp. of Alabama v. Randolph*, 531 U.S. 79, 89 (2000) (emphasizing purpose of FAA "to reverse the longstanding judicial hostility to arbitration agreements"). This Court has held that the FAA applies to state-law disputes such as this one in a very limited fashion, for the specific purpose of overriding state-law favoritism toward judicial rather than arbitral resolution.

This Court has identified only two categories of state law that are subject to conflict preemption under Section 2, neither of which is applicable here: *First*, the FAA displaces state-law principles that *target* arbitration agreements for

special or different treatment from other contracts, on the ground that such arbitration-specific law "would place arbitration clauses on an unequal 'footing,' directly contrary to the [FAA's] language and Congress's intent." *Doctor's Assocs., Inc. v. Casarotto*, 517 U.S. 681, 686 (1996) (*quoting Allied-Bruce Terminix Cos., Inc., v. Dobson*, 513 U.S. 265, 281 (1995)). "Congress precluded states from singling out arbitration provisions for suspect status." *Casarotto*, 517 U.S. at 687. The Court in *Casarotto* accordingly held that FAA § 2 preempts Montana law that imposed special notice requirements only on contracts "subject to arbitration." *Id.* at 683. In *Allied-Bruce*, the Court applied the anti-targeting principle to hold that FAA § 2 preempts Alabama law categorically invalidating written, pre-dispute arbitration agreements. *Allied-Bruce*, 513 U.S. 265. *Second*, the FAA preempts state law that would *exempt* certain categories of cases from arbitration, because such state law evinces the very mistrust of arbitration that the FAA serves to counteract. *See Perry v. Thomas*, 482 U.S. 483 (1987) (FAA § 2 preempts California law exempting wage claims from arbitration); *Southland Corp*, 465 U.S. 1 (FAA § 2 preempts provision of California Franchise Investment Law that state courts had interpreted to exempt from arbitration claims arising under that law).

Neither of those categories of preemption ousts South Carolina law permitting class arbitration under contracts that allow for it. Aggregation of like claims subject to the same arbitration agreement does not "place arbitration clauses on an unequal 'footing'" with other contracts in violation of the *Casarotto* anti-discrimination principle. Given that claims relating to the same contract could be pursued in court on a class-wide basis, the mere presence of an arbitration clause should not, under *Casarotto*, make class proceedings

unavailable.[10] Nor does the state court's decision evince the mistrust of or hostility toward arbitration condemned in *Perry*. To the contrary, allowing arbitrators to manage important cases with procedural sophistication shows equal respect for, rather than skepticism of, the arbitral forum.[11]

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[10] Indeed, the very claim at issue in this case proceeded to judgment in a class action in state court brought by those purchasers whose contracts with Green Tree did not contain arbitration clauses, and whom the arbitrator therefore excluded from the arbitration classes. *See Flemmings v. Green Tree Fin. Corp.*, note 5, *supra*, at 9.

[11] Petitioner and its *amici* intimate that permitting class arbitration is somehow anti-arbitration because it raises the prospect that some arbitrations could come to resemble litigation, to the point where certain parties might no longer find arbitration so attractive. Pet. Br. 39-41; *e.g.* Brief of Washington Legal Foundation as *Amicus Curiae*, at 13 ("The real danger here is that by imposing class-based arbitration procedures in the face of a silent arbitration clause, the South Carolina courts are discouraging parties from agreeing to arbitration in future cases."); Brief for American Bankers' Assn. *et al.*, as *Amici Curiae*, at 18. Although arbitration, even on a class basis, may often be simpler and faster than a trial, the FAA simply does not promise any particular level of simplicity or relative economy; "potential complexity should not suffice to ward off arbitration." *Mitsubishi Motors Corp v. Soler Chrysler-Plymouth, Inc.*, 473 U.S. 614, 633 (1985); *see Shearson/American Express v. McMahon*, 482 U.S. 220, 232 (1987) (rejecting arguments that Securities and RICO claims are non-arbitrable due to their complexity). This Court's endorsement in *Mitsubishi Motors* of arbitration of antitrust violations, which "can affect hundreds of thousands—perhaps millions—of people and inflict staggering economic damage," 473 U.S. 614, 655 (Stevens, J, dissenting), belies any assertion that complex matters cannot be arbitrated. The same "adaptability and access to expertise," *id.* at 633-634, that make antitrust, securities and RICO claims not inherently unsuited to arbitration support confidence in arbitrators' ability to conduct class proceedings. *See generally* American Arbitration Association website, http://www.adr.org/index2.1.jsp?JSPssid=15739 ("Over the last several decades, the American Arbitration Association has administered over 100,000 mass claims cases for a wide range of class action and mass claims involving insurance, bankruptcy and discrimination matters.")

II. THE FAA DOES NOT ESTABLISH A FEDERAL COMMON LAW OF CONTRACT INTERPRETATION UNDER WHICH THE ARBITRATION AGREEMENT'S REFERENCE TO "THIS CONTRACT" WOULD FORECLOSE CLASS ARBITRATION

Petitioner does not challenge the South Carolina Supreme Court's reading of the Agreement, under South Carolina law, as allowing class arbitration—indeed, this Court has no authority to review that determination of state law. Nor does petitioner maintain that the FAA expressly or implicitly precludes all class arbitration. To the contrary, it expressly concedes that parties may choose to proceed on a class-wide basis in arbitrations governed by the FAA. Pet. Br. 32, 42.

Petitioner is thus reduced to arguing that an asserted FAA requirement that contracts to arbitrate be "enforced according to their written terms" establishes a body of *federal* contract law for interpretation of arbitration agreements that would authorize federal courts to second-guess state law. But there is nothing in the FAA to suggest that Congress authorized the federal courts to create a common law of arbitration contracts. Because it cannot point to any general FAA prohibition of class actions, petitioner is left with the case-specific contention that the contract language in this case precludes class arbitration.

If this Court were to accept petitioner's position, it would invite any party unhappy with the results of a state court's or an arbitrator's interpretation of an arbitration agreement to seek review of routine questions of contract interpretation in federal court by casting its complaint as one of misinterpretation—or in petitioner's terms, "rewriting"—of the contract rather than enforcement "according to its written terms." The FAA establishes no such federal rule, but trusts the state courts neutrally to apply their own contract law to determine the meaning of arbitration clauses. *Cf. American*

Airlines v. Wolens, 513 U.S. 219, 232 (1995) (finding nonpreemption where it was implausible that Congress intended to channel into federal court large body of routine common-law contract claims).

The arbitrator and the state courts here faithfully applied well-established South Carolina law of contract interpretation, pursuant to a contract that expressly called for the application of South Carolina law. Neither the arbitrator, nor any of the numerous judges that Green Tree entreated to halt the class arbitration in this case, agreed with Green Tree's interpretation of the Agreement.[12] The FAA reserves interpretation of state arbitration agreements to the state courts, and the South Carolina Supreme Court's judgment accords with the FAA and is not subject to second-guessing by this Court.

A. Under the FAA, General Principles of State Law Govern Questions of Interpretation of Arbitration Agreements

Petitioner pins its case on assertions that the Agreement must be read according to its written terms, *see e.g.* Pet. Br. at 18-22, and that those terms "foreclose" class arbitration. Pet. Br. 42; *see also id.* at 17 ('the parties' intent is expressly to the contrary" of the state rule permitting class arbitration); *id.* at 37 (asserting that "express limitations" of the contract

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[12] The state courts, as well as the arbitrator, time and again rejected Green Tree's interpretation of the Agreement as foreclosing class arbitration. *See, e.g.*, Pet. App. 19a (unanimous opinion of South Carolina Supreme Court); R. App. 1346-1347 (opinion of Dorchester County Circuit Judge Patrick R. Watts in *Bazzle* denying defendant's motion for reconsideration of class certification); R. App. 49a-50a (opinion of Barnwell County Chief Circuit Judge Rodney A. Peeples in *Lackey* denying defendant's motion to vacate arbitral award); R. App. 63-64 (opinion of Barnwell County Circuit Judge Gary E. Clary dismissing Green Tree's collateral action to stay class arbitration).

foreclose class arbitration). Under the FAA, however, the state's high court is the ultimate arbiter of the meaning of the contract terms. The question whether the Agreement in this case permitted the arbitrator to conduct class arbitration is a matter of state law, which the arbitrator and state courts resolved in respondents' favor.

The FAA preserves a substantial role for state law in the interpretation and enforcement of agreements to arbitrate. As this Court has repeatedly made clear, "States may regulate contracts, including arbitration clauses, under general contract law principles." *Allied-Bruce*, 513 U.S. at 281. Notwithstanding the FAA, "the interpretation of private contracts is ordinarily a question of state law, which this Court does not sit to review." *Volt*, 489 U.S. at 474. *See also Perry*, 482 U.S. at 492 n. 9 (state legislative and judicial law is applicable to arbitration contracts if it deals with "contracts generally" and does not construe arbitration agreements "in a manner different from that in which it otherwise construes nonarbitration agreements under state law"). As *Allied-Bruce*, *Perry*, and *Volt* make clear, the general contract law that applies in a case such as this is state, not federal, law. Indeed, there is no general federal common law of contract interpretation, s*ee O'Melveny & Myers v. FDIC,* 512 U.S. 79, 83 (1994), and the FAA is not a mandate to create one, *cf. Textile Workers Union v. Lincoln Mills*, 353 U.S. 448 (1957).

Green Tree attempts to characterize language from this Court's cases as supporting special federal review to ensure that arbitration agreements are enforced "according to their written terms." That is exactly what the South Carolina Supreme Court did in this case. The Court refers to enforcement of arbitration agreements "in accordance with their terms" simply to mean that arbitration agreements should be interpreted *in the same manner as any other contract*. For example, the Court stated in *First Options of Chicago, Inc. v. Kaplan*, 514 U.S. 938 (1995) that

"commercial arbitration agreements, *like other contracts*, are enforced according to their terms and according to the intentions of the parties." 514 U.S. 938, 947 (1995) (emphasis added). Similarly, in *Volt* the Court explained that the FAA "simply requires courts to enforce privately negotiated agreements to arbitrate, *like other contracts*, in accordance with their terms." 489 U.S. at 478 (emphasis added). The point of the reference to enforcement of arbitration agreements "in accordance with their terms" is not to impose a layer of routine federal oversight of questions of arbitration agreement interpretation, but simply to place interpretation of those agreements on the same footing as other contracts, that is, precisely to ensure that they are governed by generally applicable principles of state contract law. None of the cases in which this Court has referred to enforcement of arbitration agreements "in accordance with their terms" had anything to do with the supposed tension between class actions and arbitration that petitioner urges, nor, indeed, with any presumption against particular procedures on the ground that they might be ill-suited to arbitration. There is absolutely no evidence that Congress in enacting the FAA sought to federalize routine matters of state court contract interpretation, as petitioner's argument necessarily implies.

Petitioner's argument not only mischaracterizes the precedent, but also fails in its own terms. Where, as here, an agreement does not purport to bar class arbitration, it is difficult to see how class proceedings could have been *other* than "in accordance with the terms" of the Agreement. *Volt* acknowledges the latitude parties enjoy "to choose the terms under which they will arbitrate," 489 U.S. at 472, but there is no requirement that the parties must specifically address in advance all procedural issues that might arise in an arbitration. If this Court's reference to arbitration "in accordance with the terms" of the agreement carried the

restrictive force that petitioner ascribes to those words, arbitrations would grind to a halt. For example, Green Tree's Agreement in this case made no provision for discovery within the arbitration, the order of motions and proof to be submitted to the arbitrator, or other procedural matters that the arbitrator addressed. Under petitioner's approach of exclusive reliance on authority spelled out in the contract, even an individual plaintiff's claim could not have been arbitrated under this Agreement. Because the state court's interpretation of the Agreement did not discriminate against arbitration and was not hostile to arbitration, its resolution of state law is not preempted by the FAA.

B. The State Court Faithfully Applied State Law To Hold That The Agreement Permitted Class Arbitration

Even if the FAA were construed to authorize federal court review of state court contract interpretation, there would be no basis for overturning the decision below. The South Carolina Supreme Court, applying arbitration-neutral rules of contract interpretation, concluded that the Agreement was "at best" ambiguous with respect to class arbitration. Pet. App. 19a. In interpreting the Agreement, the court applied the entirely unexceptional, generally applicable state-law rule that an ambiguity in contract terms "should be construed against the drafter." Pet. App. 19a. That principle is well settled in South Carolina,[13] as well as many other

[13] *See, e.g., Myrtle Beach Lumber Co., Inc. v. Willoughby*, 274 S.E.2d 423, 426 (S.C. 1981) (cited in opinion below, Pet. App. 17a); *Southern Atlantic Fin. Services., Inc., v. Middleton*, 562 S.E.2d 482, 486 (S.C. Ct. App. 2002) ("It is well settled that ambiguities arising within a contract must be construed against the drafter. This rule applies with particular force in cases involving a contract of adhesion."); Ralph K. Anderson, Jr., *South Carolina Requests to Charge*—Civil § 19-7, Contract—Rules of Construction (2002) (standard jury instruction stating that "ambiguities must be construed against the party who prepared the contract . . . . Where a contract is entered into upon a form prepared by a party, the language of the contract will be strictly construed against that party.")

jurisdictions.[14] This Court has itself, in reviewing a federal-court FAA case, approved of the precise rule the South Carolina court used here: "the common-law rule of contract interpretation that a court should construe ambiguous language against the interests of the party that drafted it." *Mastrobuono v. Shearson Lehman Hutton*, 514 U.S. 52, 62 (1995).

1. The State Court's Decision Is Strongly Supported By State Law and the Terms of the Agreement

The language in Green Tree's Agreement creates an implication in respondents' favor considerably stronger than the one this Court credited in *Mastrobuono*. While the agreement does not use the words "class-wide arbitration" or "class action,"[15] it can be read affirmatively to authorize such a procedure, and certainly provides no more than the most strained support for petitioner's contrary reading.

First, the Agreement's own choice-of-law clause authorized the application of South Carolina law to the arbitration in this case, and South Carolina law permits class actions in arbitration as well as litigation. *See* S.C. R. Civ. P. 23 (authorizing class actions); Pet. App. 21a ("no case law or statute in South Carolina prohibits class-wide arbitration") (*citing Episcopal Housing Corp. v. Federal Ins. Co.*, 255

[14] *See* Restatement (Second) of Contracts § 206 (1981) ("In choosing among the reasonable meanings of a promise or agreement or a term thereof, that meaning is generally preferred which operates against the party who supplies the words or from whom a writing otherwise proceeds.").

[15] *Compare* Green Tree's revised standard form contract containing an express waiver of buyers' rights to bring participate in class actions, *supra* at 3-4.

S.E.2d 451 (S.C.1979) (authorizing consolidated arbitration in appropriate circumstances)). Green Tree's contract expressly states that "this contract will be governed by the law of the State of South Carolina." R. App. 2162. The Agreement fails to specify any other set of procedural rules to govern the arbitration, making state law a natural source to fill that gap. Under South Carolina law, "state procedural rules that do not undermine the enforceability of an otherwise valid contract to arbitrate may be deemed to have been incorporated into a contract through choice of law provisions." *Zabinski v. Bright Acres Assocs.*, 553 S.E.2d 110, 118 (S.C. 2001). Green Tree's own choice-of-law provision thus incorporates the South Carolina default rule permitting class arbitration.[16]

Second, the Agreement expressly grants to the arbitrator "all powers provided by the law and the contract," which are fairly understood to include the authority to certify a class. The power to certify a class is a power provided by South Carolina law, even if it is not otherwise expressly provided by a contract. *See* R. App. 62-63 (trial court refusing to enjoin class arbitration because contract's "all powers provided by the law" clause authorizes it).

Third, the Agreement gives the arbitrator power over "all disputes" arising under any source of law whatsoever. Just as

[16] *Mastrobuono's* treatment of the New York choice-of-law provision is not to the contrary. There was language in the *Mastrobuono* contract that contradicted application of the choice-of-law clause to the disputed damages question, 514 U.S. 58-59, and such contradictory language is lacking here. Moreover, as the Court noted in *Mastrobuono*, it was reviewing "a federal court's interpretation of [a] contract," which was not entitled to any special deference. The precedent more relevant to a state case like this one is *Volt*, in which the contractual choice of state law supported application of state multiparty arbitration rules. This case, like *Volt*, 489 U.S. 486, is governed by the rule of "defer[ence] to the [state] court's construction of its own State's law." *Mastrobuono*, 514 U.S. at 60 n. 4 (distinguishing *Volt* on that ground).

the reference to "any controversy" in the agreement at issue in *Mastrobuono* supported the arbitrator's authority to award punitive damages, so, too, the broad reference to "all disputes" in the Green Tree agreement permits the arbitrator to decide whether the arbitration should proceed on a class-wide basis. *See also Conn. Gen. Life Ins. Co. v. Sun Life Assurance Co. of Canada*, 210 F.3d 771, 774, (7th Cir. 2000) (Posner, J.) (applying "usual methods of contract interpretation" to hold that agreement to arbitrate "any dispute arising out of the interpretation, performance or breach of this Agreement "authorized consolidation of arbitration because "the word 'dispute' . . . does not exclude a dispute involving multiple parties").

Fourth, the Agreement specifies that the arbitrator's authority is not limited to simple contract remedies, but includes "equitable" powers. That reference can reasonably be read to encompass authority to certify a class. "[T]he class action was *an invention of equity* to enable it to proceed to a decree in suits where the number of those interested in the litigation was too great to permit joinder." *Phillips Petroleum v. Shutts*, 472 U.S. 797, 808 (1985) (emphasis added); *see Ortiz v. Fibreboard Corp.*, 527 U.S. 815, 832-837 (1999); *Dickler v. Shearson Lehman Hutton Inc.*, 596 A.2d 860 (Pa. 1991) (holding that authority to conduct class arbitration is an equitable power of the arbitrator).

Fifth, the contract's express waiver of the right to a jury implies that other questions of arbitration procedure were left to background principles of law and the arbitrator's discretion. South Carolina courts recognize as a general matter of contract interpretation that "*expressio unius est exclusio alterius*," *i.e.*, the expression of one thing implies the exclusion of another. *Evins v. Richland County Historic Preservation Comm'n*, 532 S.E.2d 876 (S.C. 2000). That principle suggests that the Agreement, which expressly required buyers

to waive their jury trial rights, did not effect a waiver of any other specific procedures.

Petitioner's principal argument is that the Agreement's reference to disputes arising from or relating to "this contract" precludes class arbitration. But the clause in which that phrase appears refers to the underlying substantive claims and defenses that must be arbitrated, and not to the procedures that the arbitrator should use in conducting the arbitration. It states:

> All disputes, claims or controversies arising from or relating to this contract or the relationships which result from this contract, or the validity of this arbitration clause or the entire contract, shall be resolved by binding arbitration . . . .

Pet. App. 110a. That clause does not address multiparty issues at all, but only makes clear that the agreement to arbitrate encompasses not only contract claims as such, but related tort or statutory claims, as well as gateway issues such as the validity of the Agreement. As Petitioner itself characterizes it, that clause "identifies the matters that will be subject to arbitration." Pet. Br. 8. There is no question that the underlying claims of all the class members "relate[d]" to the identical contracts they entered with Green Tree. Given that the law in South Carolina does not prevent an individual party to a bilateral contract to act as a class representative in order to pursue claims relating to that contract in a class action, there is no reason to think that the arbitrator would lack the power to authorize a plaintiff to play a similar representative role in an appropriate case pending in arbitration. If the Agreement contained the same sentence, but with the word "litigation" in place of "binding arbitration," nobody would contend that the terms operated *sub silentio* to foreclose class actions.

Even assuming the reference to "this contract" could somehow be read to be relevant to procedures rather than to the

substantive matters to be arbitrated, it would not foreclose class arbitration. It provides for arbitration, not just of claims "arising from" the contract, but of any "disputes . . . relating to this contract or the relationships which result from this contract." The dispute over whether class arbitration is permissible "relates to" the contract and the relationships that derive therefrom. It is a dispute about whether the named plaintiffs may, in the context of their suit against the defendant, play a role as representatives of other persons similarly situated with respect to the defendant. The dispute also "relates to" the substantive "claims" because it turns on the typicality and commonality of the named plaintiffs' claims vis-a-vis those of the unnamed class members. The sentence is devoid of limiting language that would support the notion that the arbitrator could consider only procedural issues relating *exclusively* to the two parties and not to identical claims presented by similarly situated others under the same contract language.

Green Tree's reliance on the clause referring to "arbitration by one arbitrator selected by us with consent of you" fares no better. That clause sets forth the parties' respective roles in the selection of an arbitrator. It plainly was not designed to limit the scope of any arbitral dispute to one that is necessarily "bilateral." Pet. Br. 39. Nor does the clause guarantee Green Tree the right "to select, in the first instance, the individual who would have authority to resolve the disputes arising from or relating to each specific contract." *Id.* at 43.

Indeed, that argument is wholly circular: If the Agreement is otherwise consistent with class arbitration, as we have argued and the state high court held, then Green Tree's selection of an arbitrator for any given plaintiff's claim was subject to the possibility that the case might go forward under that arbitrator on a class-wide basis. That argument is also particularly weak in this case because plaintiffs filed class

complaints in both *Bazzle* and *Lackey*, putting Green Tree on actual notice in both cases that its selection of an arbitrator for each case would (unless one of its other anti-class-arbitration arguments prevailed) amount to selection for purposes of the class action.[17]

Green Tree's contention that the Agreement precludes class arbitration is utterly implausible. As we have shown, the Agreement's terms, viewed evenhandedly under South Carolina contract law, squarely refute Green Tree's objection that class arbitration is contractually "foreclosed." Pet. Br. 42. The Agreement does not specifically mention class proceedings, just as the contract in *Mastrobuono* did not mention "punitive damages," but the Agreement here, as there, "strongly implies" the disputed coverage. 514 U.S. at 60. Green Tree is responsible for any ambiguity in its Agreement, and thus "cannot now claim the benefit of the doubt." *Mastrobuono*, 514 U.S. at 63.

2. *There is No Basis for Petitioner's Contention That The State Court "Rewrote" The Parties' Agreement in Order To Serve its Own Policy Preferences*

Only in the most exceptional cases, in which a state court has somehow distorted its law in a manner that discriminates against or is hostile to arbitration rights, are questions of state law subject to preemption under the FAA. See Point I. B., *supra*. Petitioner can show no such discrimination or hos-

[17] The unnamed class members' right under the Agreement to withhold their consent to Green Tree's selected arbitrator was preserved by the right to opt out of the plaintiff classes—a right which several class members elected to exercise. Moreover, in the context of a class action, the reference to "you" may be read as plural. *See Conn. Gen. Life Ins. Co.*, 210 F.3d at 775 (Posner, J.) (reading reference to "each party" in context of arbitrator selection provision to refer to each "side" in the dispute).

tility, and accordingly resorts to inflated rhetoric, asserting repeatedly that the state court "modified," "rewrote," "reformed," "distorted" or "attempted to improve upon" the written terms of the parties' contract, "disregarding" or "ignoring" Green Tree's chosen language in order to "impose," "intrude" or "superimpose" on it the court's own policy preferences. *See, e.g.*, Pet. Br. 3, 4, 5, 15, 18, 22, 23, 24, 25, 28, 30, 31, 32. Shorn of the rhetoric, however, petitioner's argument amounts to nothing more than a quibble with the arbitrator's and the state court's uniform interpretation of the contract. All of Green Tree's expressions of outrage do not change the fact that, even if the state court erred in applying its own law, which it plainly did not, there is no federal issue in this case.

For example, petitioner decries what it characterizes as the State "impos[ing] on the parties its own notions of 'efficiency and equity.'" Pet. Br. 32; *id.* at 3. The court did no such thing. Rather, as explained above, the court applied ordinary, arbitration-neutral principles of contract interpretation and found that the Agreement was at best ambiguous regarding class arbitration and that, under state law, class arbitration procedures were therefore available in appropriate cases. Petitioner wholly miscasts the role of the "efficiency and equity" inquiry to which the state court referred. Far from signaling any free-ranging power to rewrite contracts to suit the court's own notions of fairness, the terms refer to considerations relevant to an arbitrator's decision whether to certify a class where class procedures are an available option under the contract.

III. THE FAA DOES NOT CREATE A FEDERAL PRESUMPTION AGAINST CLASS ARBITRATION THAT WOULD FORECLOSE CLASS ARBITRATION HERE

Where, as here, an agreement to arbitrate does not expressly provide for or prohibit class arbitration, the South

Carolina background rule permits it. Although another state might apply ă different default rule,[18] there is no preemptive FAA background rule against class arbitration that foreclosed South Carolina state law from permitting it here. Indeed, petitioner's concession (Pet. Br. 32) that parties are free to agree to class-wide arbitration without running afoul of the FAA makes any suggestion of an inherent conflict untenable.

A. The FAA Does Not Preempt State Court Procedures For Multiparty Arbitration

Conflict preemption requires a showing that state law actually conflicts with federal law. Yet the FAA is wholly agnostic as to class arbitration. Petitioner consequently cannot point to any actual conflict here.

This Court in *Volt* recognized that state procedures for multiparty arbitration are compatible with the FAA. The Court ruled that the FAA did not preempt a state-law procedural rule that authorized arbitration of state-law claims to be stayed pending litigation of related claims among parties not subject to arbitration. 489 U.S. 468. As the Court noted, "the FAA itself contains no provision designed to deal with the special practical problems that arise in multiparty contractual disputes when some or all of the contracts at issue include contracts to arbitrate." *Id.* at 476 n. 5. California

[18] *Compare Med Center Cars, Inc. v. Smith*, 727 So.2d 9, 19-20 (Ala. 1998) (denying class arbitration where agreement did not specifically provide for it) *with Dickler v. Shearson Lehman Hutton, Inc.*, 596 A.2d 860 (Pa. 1991) (allowing class arbitration as within arbitrator's equitable powers); *Keating v. Superior Court*, 645 P.2d 1192 (Cal. 1982), *rev'd in part on other grounds sub nom Southland Corp. v. Keating*, 465 U.S. 1 (allowing class arbitration where agreement does not foreclose it); *Blue Cross of California v. Superior Court*, 78 Cal. Rptr. 2d 779 (Cal. Ct. App. 1998) (finding state rule permitting class arbitration not preempted by FAA); *Boynton v. Carswell*, 233 S.E. 2d 185 (Ga. 1977) (allowing class arbitration in challenges to local taxes), *overruled on other grounds by Callaway v. Carswell*, 242 S.E.2d 103 (Ga. 1978).

"ha[d] taken the lead in fashioning a legislative response to this problem, by giving courts authority to consolidate or stay arbitration proceedings in these situations in order to minimize the potential for contradictory judgments." *Id.* Application of the California rule was arguably hostile to arbitration because it allowed the state court to stay arbitration pending the resolution of related litigation, the result of which might then control the arbitration. The Court in *Volt* nonetheless found no actual conflict with the FAA's "healthy regard for the federal policy favoring arbitration," *id.* at 475, and thus no preemption.

Under *Volt,* South Carolina's approval here of class arbitration is *a fortiori* not preempted by the FAA. Like the agreement in *Volt*, Green Tree's Agreement included a clause specifying that state law would govern. R. App. 2162. South Carolina, like California in *Volt*, has expressed its own state policy with respect to a question of multiparty arbitration. Here, the state has chosen not to foreclose a class proceeding where an agreement allows it and the arbitrator has elected to permit it. Because it facilitates arbitration, South Carolina's rule is even more compatible with the FAA than the California rule at issue in *Volt*.

The arbitrator did in fact conduct class arbitration here, and South Carolina's allowance of it eased rather than obstructed arbitration of the parties' disputes. Respondents here do not assert an entitlement to bring a class action that would divert the case from arbitration into court. Unlike the plaintiff in *Gilmer v. Interstate/Johnson Lane Corp.*, 500 U.S. 20 (1991), they do not rely on class-action rights as a ground for relief from an agreement to arbitrate. *Id.* at 32 (rejecting contention that potential unavailability of class arbitration of ADEA claim renders it unfit for arbitration). Rather, respondents joined together as a class in order more efficiently to resolve their claims within arbitration. Nothing in this Court's FAA preemption jurisprudence suggests that application to arbitra-

tion agreements of arbitration-neutral state law which facilitates arbitration is at odds with the FAA.[19]

Petitioner identifies only one lower-court case, *Champ v. Siegel Trading Co.*, 55 F.3d 269 (7th Cir. 1995), to support its contention that the FAA mandates a presumption against class arbitration. *Champ* does not apply here, however, because it rests on FAA § 4, which is inapplicable in state court. By their own terms, each of the FAA procedural provisions that addresses trial-court procedures at the threshold of arbitration applies only to *federal* courts and does not address the role of state courts. *See* 9 U.S.C. § 4 (regarding procedure to be used in "any United States district court" to initiate arbitration in cases presenting federal claims); *id.* § 3 (regarding procedure for obtaining a stay of litigation "brought in any of the courts of the United States" pending completion of arbitration); *Southland*, 465 U.S. at 16 n.10. Such a "federal procedural right . . . simply does not apply in a nonfederal forum." *Johnson v. Fankell*, 520 U.S. 911, 921 (1997).

Even if the FAA's procedural provisions supported a presumption against class arbitration in federal court, those provisions in no way bar states from authorizing their trial courts to make class certification decisions before sending cases to arbitration. *See Volt*, 489 U.S. at 476-477; *Southland*, 465 U.S. at 31 (O'Connor, J., dissenting) (state courts should be allowed to fashion their own procedures for enforcing the substantive federal rights, if any, that the FAA creates). There is no more cause for petitioner's concern (Pet. Br. 28) about potentially different state and federal threshold procedures for arbitration than there is about the routine use of

[19] This case does not present the question whether the FAA preempts state law that abrogates express waivers of rights to proceed on a class basis, such as by rendering unconscionable contracts that waive the right to proceed as a class. *See, e.g., Ting v. AT&T*, 319 F.3d 1126 (9th Cir. 2002); *State v. Berger*, 567 S.E.2d 265 (W. Va. 2002), *cert. denied sub nom Friedman's Inc. v. West Virginia*, 123 S.Ct. 695 (2002).

different procedures in state and federal courts under *Erie Railroad Co. v. Tompkins*, 304 U.S. 64 (1938). *See American Dredging Co. v. Miller*, 510 U.S. 443, 451-452 (1994) (despite potential disuniformity, Jones Act does not preempt state law on *forum non conveniens* for cases brought in state court under the Act).[20]

In light of the sovereign autonomy of the states to structure their own court procedures as they see fit, it is doubtful whether Congress could, consistent with constitutional principles of federalism, preempt state-court procedures for certifying a class at the threshold of arbitration. At a minimum, a plain statement of Congress's intent to do so should be required before state courts' procedural rules are ousted. *Cf. Gregory v. Ashcroft*, 501 U.S. 452, 460 (1991). Yet the FAA says nothing whatsoever about state procedures, much less class arbitrations, apart from the general nondiscrimination principle it embodies. The states ordinarily "have great latitude to establish the structure and jurisdiction of their own courts," and a "neutral state rule regarding the administration of the state courts" should not lightly be preempted. *Fankell*, 520 U.S. at 919 (*citing, inter alia, Southland*, 465 U.S. at 33 (O'Connor, J., dissenting)); *Southland*, 465 U.S. at 19 (Stevens, J., concurring in part and dissenting in part) ("we must be cautious in construing the act lest we excessively encroach on the powers which Congressional policy, if not the Constitution, would reserve to the States"). Any reading

[20] Whether to certify a class is plainly a procedural question. Indeed, if it were otherwise, Federal Rule of Civil Procedure 23 would run afoul of the Rules Enabling Act, 28 U.S.C. § 2072. Both federal and state class-action rules comfortably qualify as rules that regulate only procedure because they address the "*process* for enforcing rights and duties recognized by substantive law and for justly administering remedy and redress for disregard or infraction of them." *Hanna v. Plumer*, 380 U.S. 460, 464 (1965) (emphasis added). In the arbitration context, the nature of the question whether to proceed on a class-wide basis is no different.

of the FAA to control state-court procedures for referral of cases to class arbitration raises constitutional doubts and should be avoided.

Petitioner seeks to sidestep the fact that FAA §§ 3 and 4 expressly apply only to federal courts by asserting that the parties nonetheless agreed that these sections would govern any arbitration under the contract, even one that never made it to federal court. Pet. Br. 16, 28-30. The Agreement supports no such interpretation. The sole sentence upon which petitioner relies states that "[t]his arbitration contract is made pursuant to a transaction in interstate commerce, and shall be governed by the Federal Arbitration Act at 9 U.S.C. section 1." Pet. App. 110a. It refers only to FAA § 1, not § 3 or § 4, and its reference to § 1, defining "commerce" under the Act, establishes only that the parties thought that the contract affected interstate commerce within the meaning of the FAA. In the case of purely intra-state contracts, the FAA lacks even the limited preemptive force of its § 2 non-discrimination principle, and states are free to favor or disfavor arbitration relative to other forms of dispute resolution as they see fit.[21] In this case, even though the Agreement governs real property transactions occurring within the State of South Carolina and thus is arguably at the outer edge of Congress's regulatory power, the contract's reference to the FAA suggests that the parties contemplated that their agreement involved interstate

[21] *See, e.g.*, *Ex Parte Kampis*, 826 So. 2d 819 (Ala. 2002) (owner's claim against in-state home construction company did not involve interstate commerce triggering FAA application); *Marina Cove Condo. Owners' Ass'n*, 34 P.3d 86 (2001) (dispute between Washington condominium owner and in-state condo owners' association regarding alleged construction defects did not involve interstate commerce for purposes of FAA).

commerce.[22] That limited reference lends no support to petitioner's contention that FAA § 4 language or case law governs this contract.

Champ is also inapposite because it addresses only the authority of a federal district court to order class arbitration, and not the authority of an *arbitrator* to proceed on a class basis if he so chooses, as Judge Ervin did here. Under the logic of *Champ*, a district court not only lacks power to order class arbitration, but equally lacks the power to enjoin it, thus leaving the matter to the arbitrator. In this case, the arbitrator's own decision to proceed on a class-wide basis moots any question here regarding whether the FAA would preempt a state trial court's order directing class arbitration.

Petitioner argues that the trial court's certification of a class in *Bazzle* before sending the case to arbitration "infected the arbitrations." Pet. Br. 34-35. That is not the case. The arbitrator exercised his authority to proceed with class arbitration in both the *Bazzle* and *Lackey* cases. In *Lackey*, the arbitrator decided the class certification question and the trial court subsequently affirmed the decision, whereas in *Bazzle*, the court made an initial class certification order before the case was referred to the arbitrator. After *Bazzle* was shifted to the arbitral forum, however, and Green Tree moved to decertify the class, the arbitrator made a *de novo* determination that "a class action should proceed in arbitration" based on his own "careful review of the broadly drafted arbitration clause prepared by Green Tree." Pet. App. 84a. He independently "found that the requirements for class certification were met and that class certification was appropriate," *id.* at 86a, and did not even cite the state trial court's class certification decision. Further, he exercised his discre-

[22] The parties' contemplation was, until recently, potentially relevant to the question whether even Section 2 of the FAA was applicable to any particular state-court case. *See Allied-Bruce*, 513 U.S. at 269.

tion to reconfigure the *Bazzle* and *Lackey* classes so that each class dealt with only one type of transaction, and he excluded out-of-state transactions and opt-outs from the classes.[23]

In both cases, the Arbitrator's decision to proceed on a class-wide basis was just the kind of discretionary, procedural decision that, in the absence of contrary state-law or contractual directive, rests in an arbitrators' sole discretion. There is no reason in either *Bazzle* or *Lackey* to conclude that the arbitrator failed to appreciate that the decision was his to make. The fact that the arbitrator and the court agreed on the appropriateness of class certification is wholly unsurprising, given that the case was such an obvious candidate for class treatment. In any event, Green Tree's objection has never been that the wrong decision maker approved class arbitration here, but rather that its Agreement foreclosed class arbitration altogether. After all, if the error were that the court made a decision that should have been for the arbitrator, the remedy for resulting prejudice (had there been any) would have been to vacate and remand to the arbitrator, *see Garvey*, 532 U.S. at 510, a remedy that petitioner never sought here, could not

[23] When respondents urged the trial court to affirm the arbitrator's award to the class in *Lackey*, they did emphasize that the court had itself earlier approved class certification in identical circumstances in *Bazzle*. Petitioner contends (Pet. Br. 37) that respondents are thereby estopped from now claiming that the arbitrator's decision in *Lackey* was independent of the judge's certification decision in *Bazzle*. Respondents never argued, however, that the arbitrator was bound by the trial court's order. The arbitrator's own opinion, which thoroughly considers the relevant Rule 23 factors and does not mention *Bazzle*, speaks for itself. Moreover, the *Bazzle* court's certification of the class (like the court's approval of the class certification in *Lackey*) is a strength, not a weakness, in respondents' case. Even were this court to view the class certification question as one for the court and not the arbitrator, *see generally First Options of Chicago, Inc. v. Kaplan*, 514 U.S. 938 (1995), that conclusion would not affect the outcome in this case because both decision makers were in agreement on the matter.

now seek, and in any event does not want. What petitioner urges is that no decision maker could have ordered class arbitration here.

Finally, even if it applied here, *Champ*'s reasoning is no more persuasive than petitioner's erroneous contract-language argument. The court in *Champ* found in § 4's requirement that district courts order arbitration "in accordance with the terms of the agreement" a negative implication that, where the parties "did not include in their agreement an express term providing for class arbitration," the district court could not order such proceedings. 55 F.3d at 276. That logic is flawed for the same reason that petitioner's contention that its agreement, which did not mention class arbitration, thereby prohibited it. *See* Point II, *infra*. The reference in § 4 to enforcement of the agreement "in accordance with [its] terms," like the similar language in this Court's § 2 cases, refers to enforcement of arbitration agreements on the same terms as other contracts, not a special rule requiring that all arbitrators' authorities be spelled out.[24]

In sum, the FAA, which says nothing whatsoever about class actions in state proceedings, simply does not speak to the threshold procedures through which *state courts* refer cases to arbitration, let alone the procedures that *arbitrators* in state cases should use once cases are referred to them. This Court in *Southland* let stand a California Supreme Court

[24] *Champ* also considered whether the FAA's silence on class proceedings permits federal courts to rely on Fed. R. Civ. P. 23 to certify classes for arbitration. 55 F.3d at 276. Federal Rule of Civil Procedure 81(a)(3) expressly makes the Federal Rules applicable to FAA proceedings "to the extent that matters of procedure are not provided for" in the FAA. *Champ* found no authority in Rule 81(a)(3) for a district court to certify a class for arbitration, however, because that rule "only applies to *judicial* proceedings under the FAA, 55 F.3d at 276, whereas class certification affects the ensuing arbitration. That reasoning, too, rests on procedural provisions applicable only in federal court.

decision to permit class-wide arbitration because Southland had not raised and the state courts had not passed on the question whether the state law was preempted by the FAA. 465 U.S. at 8-9. Petitioner here purports to assert the federal ground that was lacking in *Southland*. We have shown that there is no such preemptive force to the FAA.[25]

B. Congress Acted Reasonably in Not Blocking Class Arbitration

Seeking to erect a conflict where there is none on the face of the statute, petitioner characterizes class arbitration as "a bizarre and dangerous hybrid," and suggests that the FAA

[25] Strong concerns about whether *Southland* was correctly decided counsel, at a minimum, against any expansion here of the FAA's preemptive scope. In *Southland*, Justices O'Connor and Rehnquist would have held that FAA § 2 does not apply in state court. 465 U.S. at 24 (O'Connor, J., joined by Rehnquist, J., dissenting). Justice Stevens in *Southland* would have found no preemption of the state law excluding wage claims from arbitration, 465 U.S. at 17-21 (concurring in part and dissenting in part), and in his dissent in *Perry*, he characterized *Southland* as having "rewritten the statute to give it a pre-emptive scope that Congress certainly did not intend," 482 U.S. at 493 (Stevens, J., dissenting). *See*, *id.* at 494-495 (O'Connor, J. dissenting). In *Allied-Bruce*, Justices Scalia and Thomas would have held that the FAA does not apply in state courts, 513 U.S. at 284 (Scalia, J., dissenting); *id.* at 285-97 (Thomas, J., joined by Scalia, J., dissenting), whereas Justice O'Connor acquiesced on *stare decisis* grounds in the majority's decision to uphold *Southland* even while she thought is was "wrong" and "continue[d] to believe that Congress never intended the Federal Arbitration Act to apply in state courts," 513 U.S. at 283 (O'Connor, J., concurring). *See generally* Brief of Law Professors as *Amici Curiae* in Support of Respondents (setting forth arguments in favor of overruling *Southland*).

Because the judgment in this case is clearly correct even under *Southland*, we do not believe that the Court need decide here whether to overrule that decision, but if there were any conflict between *Southland* and the decision of the South Carolina Supreme Court, *Southland* should yield. *See* Brief of Law Professors as *Amici Curiae* in Support of Respondents.

thus should be construed to have preempted states from allowing such procedures absent express authorization in the arbitration agreement. Pet. Br. 41. In particular, petitioner and its *amici* raise the specter of due process concerns related to class arbitration. Those issues are not before this Court, where the question presented is limited to the statutory preemption issue. There is no basis in the record for any claim of due process violation, petitioner waived any such claim, Pet. App. 25a, and it is not at all clear, given Green Tree's bankruptcy, that petitioner would have standing to invoke the due process rights of class members.

Unnamed class members' due process rights were carefully preserved in these cases by the arbitrator's adherence to the best class action procedural protocols, including careful definition of the classes and the first-class mailing to each individual class member of a fully informative notice of opt-out rights.[26] *See Shutts*, 472 U.S. at 811 (describing

[26] The arbitrator approved the notice of the class arbitration that class counsel mailed to each class member. J.A. 17-23. The notice specified that the case was in arbitration, and was signed by the arbitrator. It stated in capital letters at the outset: "PLEASE READ THIS NOTICE CAREFULLY AND IN ITS ENTIRETY. YOUR RIGHTS WILL BE AFFECTED BY PROCEEDINGS IN THIS LITIGATION." J.A. 17. The notice described the claims, the contours of the class, and the status of the case. It outlined class members' options and their consequences, including that persons opting out would "not be entitled to share in the benefits of any settlement or judgment if it is favorable to the Class," and would "not be bound by the settlement or judgment if it is adverse to the class." J.A. 19-20. Correspondingly, the notice specified that "[a]ny class member who does not request to be excluded will *automatically* be included in the Action as members of the Class represented by the Named Plaintiffs," and be "bound by the orders entered and notices hereafter given in this Action." J.A. 20 (emphasis in original). The Notice alerted class members of their right to enter an appearance through an attorney of their choice, and stated that if they chose not to do so they would be represented by class counsel, whose names and addresses were listed.

constitutionally adequate notice). Even if this Court found such concerns relevant to the FAA preemption question presented, there is no reason to think that states and state arbitrators cannot design workable procedures for facilitating arbitration consistent with due process requirements. Indeed, the process followed in this case refutes such a suggestion. In any event, such matters can and should be litigated on a case-by-case basis, and speculation about due process issues does not warrant reading into the FAA a preemptive rule that Congress did not adopt.

Petitioner relatedly contends that class arbitration should be barred because it "cannot bind the non-representative class members." Pet. Br. 45. That is not the case. The unnamed class members here, each of whom signed the same arbitration agreement as the class representatives, and each of whom elected not to opt out of the class, are validly subject to the decision by the arbitrator. These facts distinguish this case from *EEOC v. Waffle House*, 534 U.S. 279 (2002), on which petitioner principally relies. There, the Court correctly noted that agreements to arbitrate cannot bind parties, such as the EEOC in that case, who never agreed to arbitrate at all. *Id.* at 294. *See also First Options* 514 U.S. at 946. Here, however, all the unnamed class members did agree to final and binding arbitration on the same terms as did the class representatives, and acquiesced to arbitration before Judge Ervin. There is no reason to believe the final award here has less binding effect on the unnamed class members than any arbitral award has on parties to an arbitration. *See, e.g.*, *Waffle House*, 534 U.S. at 297 (noting that "ordinary principles of . . . res judicata . . . may apply" to prevent the EEOC from obtaining victim-specific relief for an employee who already obtained relief through arbitration); S.C. Code.

J.A. 21. It listed class counsel's toll-free number and directed class members to call if they had any questions. J.A. 22.

Ann. § 15-48-150 (1976 Supp. 2001) (arbitration awards shall be "enforced as any other judgment or decree"); *cf.* FED. R. CIV. P. 8(c) (specifying "arbitration and award" as an affirmative defense for pleading purposes). No member of the respondent class has sought relief in any further proceeding beyond what was obtained in this case, and there is no basis to believe that any South Carolina court would honor any such request.

Petitioner's real concern in opposing class arbitration is not to protect unnamed class members' procedural rights, but to benefit from their lack of knowledge about their rights and the difficulty of securing counsel in light of the modest sums at issue. Far fewer claimants will ever sue individually in the absence of the ability to proceed as part of a class. It is the potential radically to reduce legal exposure that appeals to petitioner and its *amici*. Class action rules at the state as well at the federal level, however, serve the entirely valid objective of overcoming obstacles posed by lack of information or modest claim size in the interests of fuller and more efficient law enforcement.[27] From the perspective of absent class members, class arbitration is not more "complex, expensive and time-consuming" (Pet. Br. 40) than individual arbitration, but, on the contrary, captures efficiencies that

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[27] This Court emphasized that very purpose in *Shutts* when it held that the Due Process Clause did not require "opt-in" rather than "opt-out" class procedures under the Kansas class action rule. Recognizing that a typical class member might not "file suit individually, nor would he affirmatively request inclusion in the class if such a request were required by the Constitution," the Court rejected the defendant's argument that due process forecloses "opt-out" classes. 472 U.S. at 813; *see Amchem Prods. v. Windsor*, 521 U.S. 591, 617 (1997) ("The policy at the very core of the class action mechanism is to overcome the problem that small recoveries do not provide the incentive for any individual to bring a solo action prosecuting his or her rights."); *Deposit Guaranty Nat. Bank v. Roper*, 446 U.S. 947 (1980).

often make the difference for them between some relief and none.

Petitioner does not oppose class arbitration because it believes that there should have been 3,700 individual proceedings instead of one class arbitration. Green Tree and its *amici*, like other parties with potential exposure to large groups of people, oppose class arbitration in the knowledge that, "because many claims are not viable if brought individually, plaintiffs will often drop or fail to initiate claims once it is clear that class relief is unavailable." Sternlight, *Arbitration Meets the Class Action,* 42 Wm. & Mary L. Rev. 1, 8 (2000). Nor is petitioner insisting, as does federal securities regulation, that rights to pursue class-wide relief in court must be preserved notwithstanding agreements to arbitrate.[28] Instead, petitioner and its *amici* "hope they have found a surreptitious way to defeat the feared class action," *id.* at 5, by establishing a rule that standard-form arbitration contracts that do not expressly provide for class treatment implicitly waive any right to bring class claims. To that end, petitioner urges this Court to displace South Carolina law with a federal rule that would presumptively *disfavor arbitration* of class claims. It is petitioner's proposal, not the decision below, that is hostile to arbitration. Petitioner has pointed to no evidence that Congress even sought to regulate state law on arbitral procedures, much less that it sought to bar class actions where state law permits them on a non-discriminatory basis in litigation and arbitration.

CONCLUSION

The judgment of the South Carolina Supreme Court should be affirmed.

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[28] *See* NASD Code of Arbitration Procedure, § 10301(d)(3), (prohibiting arbitration of class claims even where putatively covered by arbitration agreement in favor of litigation all such claims).

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